



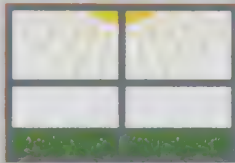
WARNING

- **High risk** Day traders typically suffer severe losses in their first months of trading, and many never graduate to profit-making status.
- **Stress** Day traders must watch the market nonstop during the day, concentrating on dozens of fluctuating indicators in the hope of spotting market trends.
- **Expense** Day traders pay large sums in commissions, for training, and for computers.



NEED TO KNOW

- **Scalping** A strategy in which traders hold their share or financial asset (known as their "position") for just a few minutes or even seconds.
- **Margin trading** A method of buying shares that involves the day trader borrowing a part of the sum needed from the broker who is executing the transaction.
- **Bid-offer spread** The difference between a price at which a share is sold, and that at which it is bought.
- **Market data** The current trading information for each day-trading market. Rather than using market data that is available free of charge but can be up to an hour old, day traders pay a premium for access to real-time data. Day traders must be able to trade on news or announcements quickly, so they need to watch the market and stay close to their trading screens at all times.



By 10am, the bid price has risen to \$500. The trader sells, making a profit of \$10 (minus fees) on each of the shares.

$$\begin{array}{rcl}
 \text{SELL PRICE} & - & \text{BUY PRICE} \\
 \$500 & - & \$490 \\
 \hline
 & = & \text{PROFIT} \\
 & & \$10 \text{ (minus fees)}
 \end{array}$$

$$\$10 \times 10,000$$

$$\begin{array}{rcl}
 \$100,000 \text{ minus:} \\
 \text{COMMISSION,} \\
 \text{STAMP DUTY, FEES} & = & \text{PROFIT}
 \end{array}$$



The trader may make five to 10 similar trades within the course of a day.

